

ESA Corporate Social Responsibility Code of Conduct

The European Space Agency is committed to social and environmental responsibility and ethical business conduct in all aspects of its activities. This commitment is clearly reflected in the ESA Corporate Social Responsibility (CSR) Principles adopted in 2020, which the current document builds on, as well as numerous internal policies applicable to ESA workforce.

The provisions of this CSR Code of Conduct (hereinafter the Code) represent the social responsibility commitments of ESA itself as well as the expectations that ESA has for its suppliers.

ESA expects its suppliers to identify risks and actual or potential adverse impacts that their or their suppliers' activities may have on human rights, the environment or ethical business conduct. Where such risks or adverse impacts are identified, ESA further expects its suppliers to reduce such risks to a minimum and that any adverse impacts, either directly caused or indirectly contributed to, are remedied.

To give full effect to the principles established within this Code, ESA suppliers are expected to flow down the requirements of the Code to their own subsidiaries and suppliers either by applying this Code or a code of conduct of their own, provided that the latter ensures at least an equivalent standard of protection of the values and principles established herein.

1. Compliance with Law

ESA suppliers are expected to comply with all laws and regulations applicable in each country where they are established or operating, including all locations where they conduct business activities. This includes, among others, compliance with all relevant health and safety, security, environmental, social, and labour law provisions as well as anti-corruption and anti-trust laws applicable to them.

2. Human Rights

ESA expects its suppliers to conduct their business in a way that upholds and supports the protection of internationally recognised, inalienable human rights as well as to ensure that they are not complicit in the abuse of any such rights. This includes respect of human rights derived from the Universal Declaration of Human Rights, the principles established in the International Labour Organisation's (ILO) Declaration on Fundamental Principles and Rights at Work, but also extends further to providing fair and dignified working conditions as described in particular below.

No child labour

ESA expects its suppliers to ensure that no child labour is used in the performance of work within their organisation. The term 'child' is to be understood as a person under the minimum legal age for employment in the country where the work is performed, or in accordance with the definition of the legal minimum age established in the ILO Minimum Age Convention of 1973, whichever is higher.

No forced labour

ESA expects its suppliers to adhere to the laws prohibiting all forms of modern slavery, including forced or compulsory labour, human trafficking, bonded or indentured labour, and to prevent any involvement in such practices.

ESA expects suppliers to provide all workers with a written contract in a language they understand, clearly indicating their rights and responsibilities with regard to wages, working hours, benefits and other working and employment conditions.

Suppliers are expected to follow the ILO's general principles and operational guidelines for fair recruitment and not charge workers recruitment fees, as defined therein, as a precondition of work.

Suppliers are expected to respect the right of workers to terminate their employment after reasonable notice and to receive all owed salary.

Dignity and respect

ESA expects its suppliers to ensure that they provide a working environment based on mutual respect and free from physical, psychological, sexual, and verbal harassment, pressure, or duress.

Fair treatment and equal opportunity

ESA expects its suppliers to ensure fair treatment of its workforce and provide equal employment opportunity to existing and prospective workers without discrimination on grounds of race, ethnic origin, nationality, political, philosophical, or religious opinions, health, disability, gender or sexual orientation or such further grounds as may be determined by the national law of the country or countries where the performance of the contract takes place.

In alignment with its own high-level objectives, ESA encourages its suppliers to strive towards inclusiveness and gender balance at all levels of employment within their workforce.

3. Employment practices

Health and safety

ESA expects its suppliers to ensure safe and healthy working conditions for its workers by having in place sufficient processes, including relevant risk prevention and mitigation measures. Where necessary, the supplier shall provide personal protective equipment for all persons working at or visiting its premises, to limit, as far as reasonably practicable, their exposure to safety hazards.

ESA expects its suppliers to maintain high standards of physical, mental, and social well-being for its workers through relevant prevention measures and training.

Wage, benefits and working hours

ESA expects its suppliers to pay their workers at regular intervals at least the minimum compensation required under local law, as well as to provide all locally mandated benefits. In addition to regular work hours, workers are expected to be compensated for overtime work either by providing equal amount of time off or remuneration based on at least their regular hourly rate. Deductions from wages are permitted only insofar as they are mandated by local law, regulations or collective agreements and communicated to the workers beforehand. Deductions from wages may never occur as a disciplinary measure.

ESA expects its suppliers to follow ILO standards regulating working hours, resting hours, maximum consecutive days of work and annual leave.

Freedom of association and collective bargaining

ESA expects its suppliers to respect its workers' right to communicate openly with the management in order to defend their interests and advocate for improvement of their working conditions without fear of harassment, intimidation, penalty, interference, or reprisal.

ESA expects its suppliers to respect its workers' freely exercised right to join any association of their choosing within the relevant national framework and to bargain collectively.

4. Environment

Environmental management

ESA expects its suppliers to conduct their business in a manner that actively and sufficiently manages environmental risks and reduces and mitigates environmental impacts across their operations, products, and supply chain. The suppliers of ESA are encouraged to establish an

appropriate Environmental Management System (e.g. ISO 14001, EMAS or comparable) which would ensure, among others, safe handling of chemical and hazardous materials, proper treatment and disposal of waste and wastewater, as well as minimisation of energy use, waste or any other form of pollution.

ESA further expects its suppliers, in accordance with their size and activities, to strive towards the targets of the Paris Agreement¹ by reducing their impact on climate change by means such as, but not limited to, reducing their direct and indirect greenhouse gas emissions, improving energy efficiency, increasing the use of renewable energy, reducing the use of hazardous materials and single-use plastics, minimising consumption, increasing reuse and recycling of products.

Sustainable product and process development

ESA encourages its suppliers to consider the environmental, social and economic impact of their products over their entire life cycle, to conserve natural resources, as well as to consider and mitigate the impact of their activities on the environment in the communities within which they operate, as well as in space.

ESA expects its suppliers to furthermore contribute to the continuity of supply by seeking alternatives in a timely manner to chemicals and substances which are likely to become unavailable due to regulatory constraints.

5. Ethical Conduct

Fraud prevention

ESA expects its suppliers to conduct their business in a way that upholds and supports fraud prevention, anti-corruption commitments and the prohibition of influence peddling, extortion,

¹ The [Paris Agreement](#) is an international agreement reached by world leaders on 12th December 2015 aiming to limit the global temperature increase in this century to 2 degrees Celsius while pursuing efforts to limit the increase even further to 1.5 degrees.

and illegal payments. ESA expects its suppliers to comply with the relevant applicable laws and regulations regardless of any local customs. Beyond compliance with applicable law, ESA expects its suppliers to commit to respect the highest ethical standards of honesty, integrity, transparency, and fairness in all relationships within and outside their organization.

ESA expects its suppliers to exert due diligence to prevent and detect fraud, corruption, influence peddling, or any other misbehaviour mentioned herein, in all business arrangements, including contracts, partnerships, joint ventures, offset agreements, and the hiring of intermediaries such as agents or consultants.

ESA further expects its suppliers to report to ESA, in accordance with the ESA Policy on the Prevention, Detection and Investigation of Fraud², any fraud or illegal activity that is identified or suspected in the frame of their relationships with ESA, including identified cases of fraud or illegal activity with their own suppliers, parent, subsidiary or affiliate entities and agents or other contractual partners.

Suppliers must never offer, attempt to offer, authorize, or promise any payment or any kind of other service in favour of suppliers, consultants, and partners of any kind, for the purpose of obtaining or retaining business or gaining an improper advantage, which cannot find adequate justification in the context of the contractual relationship established with them. This prohibition includes offering or paying of facilitation payments to public officials to speed up or obtain routine public actions. Likewise, ESA expects its suppliers to never solicit or accept a bribe, kickback, or any offer, promise, gift, present or benefit whatsoever, the intent of which is to make illegitimate use of their influence with a view to taking or obtaining any favourable decision.

² The ESA Policy on the Prevention, Detection and Investigation of Fraud can be found under supporting documentation in [esa-star Publication](#).

Fair competition

ESA expects its suppliers to compete fairly for business opportunities and not to conclude any formal or informal anti-competitive arrangements that aim to fix prices, allocate territory, collude, rig bids, or otherwise distort fair competition for market share.

Suppliers must not seek to gain an advantage of any kind by acting fraudulently, deceiving people, making false claims, or allowing anyone to do so. The latter includes defrauding or stealing from the company, a customer or any third party, as well as any kind of misappropriation of property or information.

Managing conflicts of interest

ESA expects its suppliers to take active measures to avoid conflicts of interest or situations that may be perceived as such. In the event of an actual or perceived conflict of interest, the supplier shall immediately notify all affected parties, including ESA, of the fact. The former includes a conflict between the professional and personal interests of the supplier's employees, agents or those of their close relatives, friends, and associates.

Gifts and hospitality

In any business relationship, suppliers are expected to ensure that the offering or receipt of any gift or business courtesy is, in addition to being permitted by applicable laws and regulations, not violating the rules and standards of the recipient's organization and is consistent with reasonable market customs and practices. No benefits in the form of a financial instrument (e.g. payments, securities, loans etc.) shall be offered to ESA staff. In any case, suppliers shall not use the exchange of business courtesies to gain an unfair competitive advantage.

Responsible sourcing of minerals

ESA suppliers are expected to apply necessary and appropriate measures in their supply chain to ensure that conflict minerals including tin, tungsten, tantalum, and gold, as well as critical

raw materials identified as such by the European Commission in the EU Critical Raw Materials List³, if used in their products, have been sourced responsibly. Responsible sourcing of conflict minerals and critical raw materials shall be understood as sourcing activities with limited environmental impacts which do not directly or indirectly contribute to financing or benefiting armed groups that are perpetrators of serious human rights abuses and which do not otherwise violate human rights.

ESA expects its suppliers, where relevant, to conduct due diligence in accordance with the principles established in the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas. If the material 'chain of custody' of supplied minerals is "indeterminable" or otherwise unknown, the supplier is expected to either attain the appropriate certifications or phase out that material.

Maintaining accurate records

ESA expects its suppliers to create and maintain accurate records of their business transactions and refrain from altering any record entry to conceal and/or misrepresent any underlying transaction. All records, regardless of format, made or received as evidence of a business transaction must fully and accurately represent the transaction or event being documented. ESA expects its suppliers to retain records in accordance with applicable retention requirements.

Timely payment to suppliers

ESA expects its suppliers to be fair and reasonable in their payment practices and pay undisputed and correctly presented invoices on time in accordance with agreed contract terms and applicable law.

³ The EU Critical Raw Materials List is published by the European Commission as a communication and updated from time to time with all relevant information related thereto available [here](#). Critical raw materials should be understood as all materials listed in the latest available version of the EU Critical Raw Materials List at all times.

6. Information protection

ESA expects its suppliers to employ necessary physical and technical security measures to ensure that the confidentiality, availability, integrity, authenticity and non-repudiation of information processed by them is maintained at all times. Suppliers shall ensure that their security, including cybersecurity, measures always remain adequate, taking into account the state of the art, and that any data breach or security incident falling in the frame of their relationship with ESA, is reported to ESA without undue delay.

7. Governance

Internal ethics and compliance

ESA expects its suppliers to implement and maintain an internal management system commensurate with the size and nature of their business which shall ensure in a verifiable manner that the relevant applicable laws and regulations as well as the standards of care established in this Code are followed by them.

ESA expects its suppliers to implement and maintain effective programs educating and encouraging their workforce to make ethical, value-driven choices in their business activities.

Adequate reporting channels

ESA expects its suppliers to develop and promote a speak-up culture and to provide workers and third parties with access to adequate reporting channels where they can raise situations or behaviours in breach of applicable laws and regulations or of the principles established in this Code without fear of retaliation, in line with the laws and regulations in force about whistleblower protection. ESA expects its suppliers to take action to prevent, detect, and correct any retaliatory actions against whistleblowers.